



Zalando.
The starting point for fashion.



Roadshow presentation

January 2020



Agenda

Our vision:
The starting point for fashion

Platform as key lever
to become the starting point

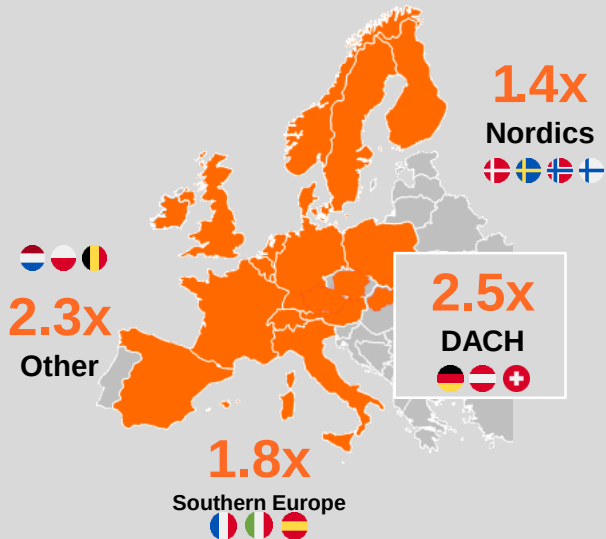
Our business model of the future

Q3 2019 results

We see clear progress on our journey to build the starting point for fashion

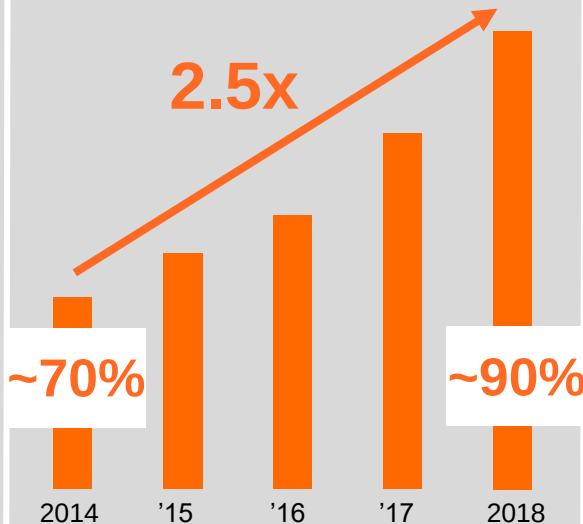
Unaided brand awareness

(relative to following competitor¹)



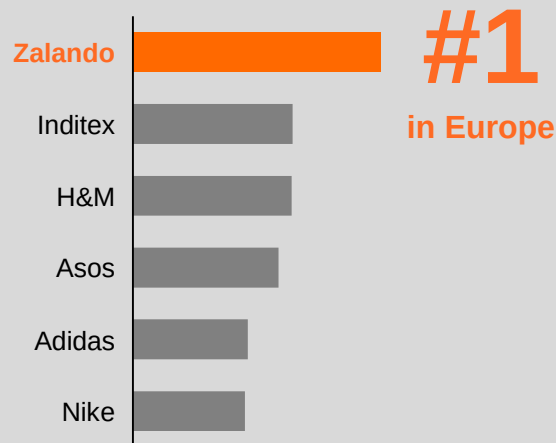
Site visits & direct traffic

(in # m; in %)



Visits to fashion destinations in Europe

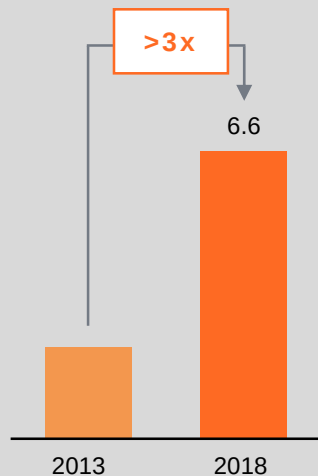
(average # of monthly unique visitors 2018²)



We have grown into Europe's leading online destination for fashion

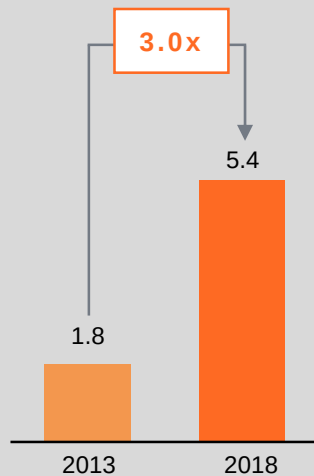
GMV

(in € bn)



Revenues

(in € bn)



17
countries



>1,000m
visits last quarter



>85%
mobile traffic



>29m
active customers



Agenda

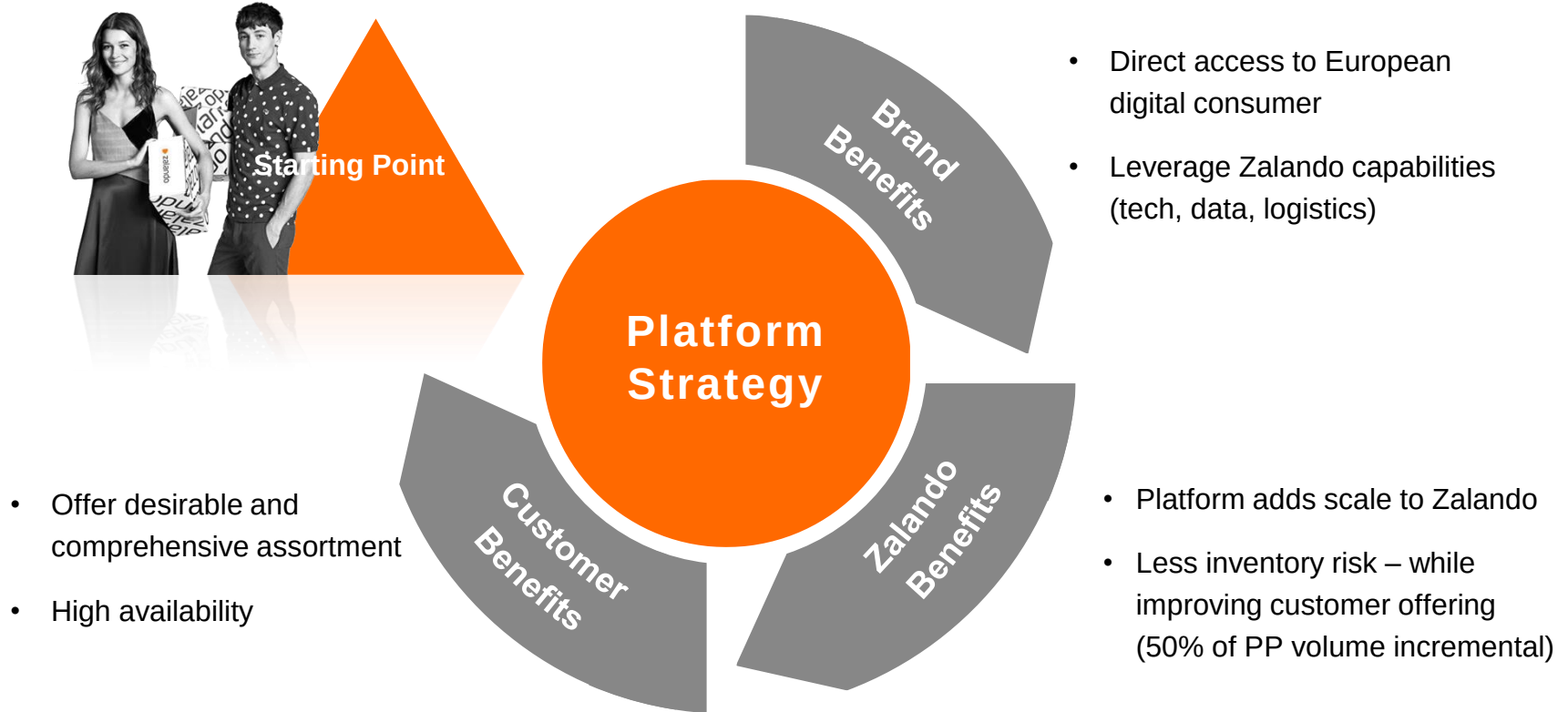
Our vision:
The starting point for fashion

**Platform as key lever
to become the starting point**

Our business model of the future

Q3 2019 results

The platform strategy is one key lever towards being the starting point



We are building Europe's leading fashion data platform to improve the customer experience, power the fashion ecosystem and maximize business value



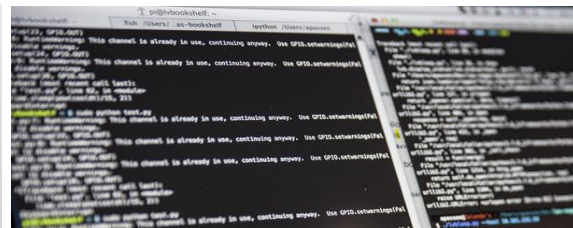
Improving the customer experience through personalization and inspiration:

- Catalogue and search optimization
- Product recommendation
- Algorithmic outfit creation
- Size recommendation
- Personalized service offering



Enabling business opportunities through customer insights:

- Detailed customer & competitive insights
- Data driven marketing & merchandising
- Targeted brand & performance marketing (ZMS)
- Inventory management (ZFS)
- Targeted and testable product & content development

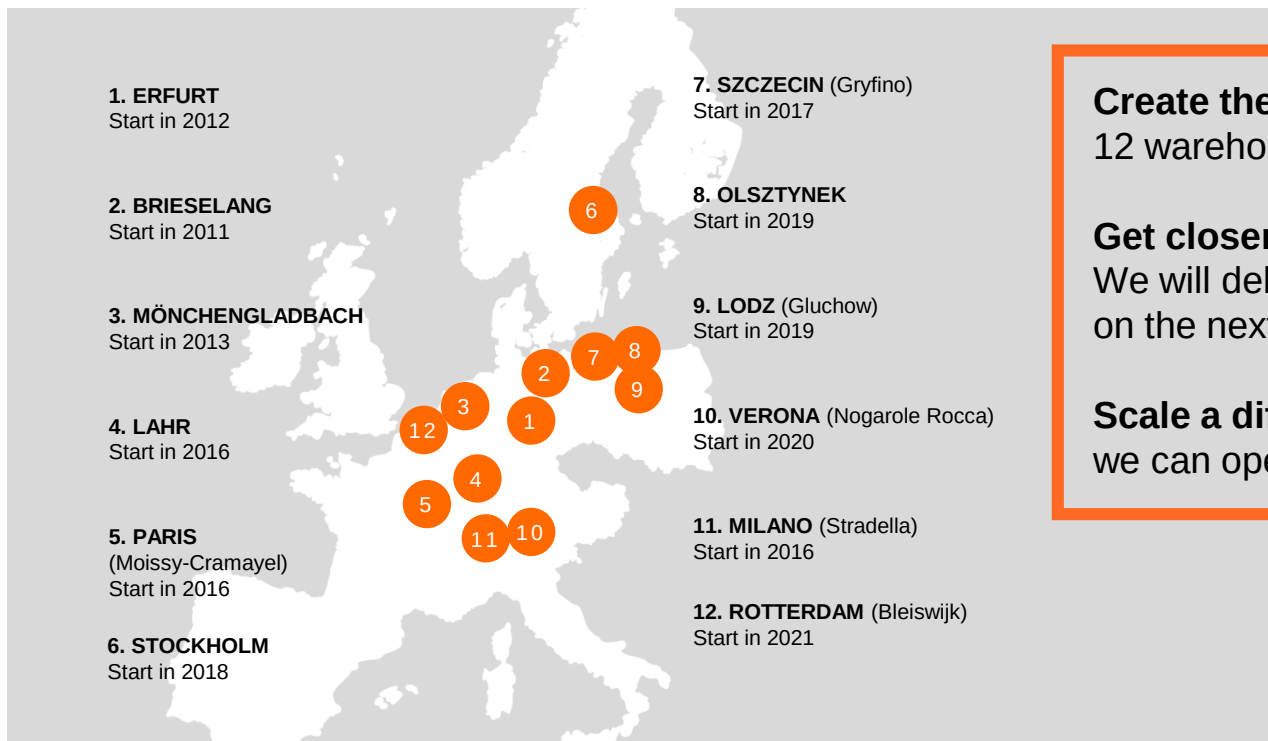


Scaling efficiently and maximizing value by leveraging the power of big data and AI:

- Demand forecasting
- ROI based performance marketing
- Pricing & inventory management
- Deferred payment risk management
- Logistics network optimization

Unique data infrastructure and state of the art governance allow all Zalando teams to drive data based value creation

ZFS leveraging our European logistic network to enable PP success



Create the capacity for future growth:
12 warehouses allow > 14bn GMV

Get closer to our customers:
We will deliver 30% of orders
on the next day by 2020¹

Scale a differentiating asset which
we can open up to brand partners

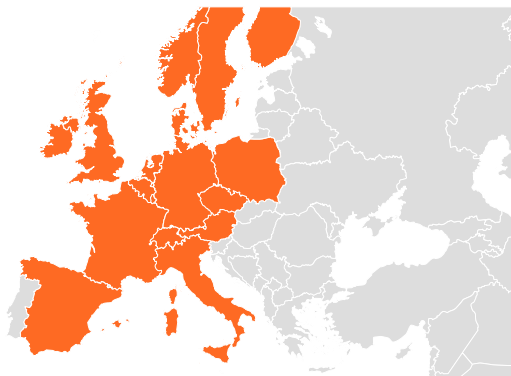
We offer a broad range of payment methods and logistic partners to satisfy local customer preferences

Payment Methods



22 different payment methods

Countries



Our presence in 17 countries
requires localization

Logistic partners



25 domestic carrier integrations, 2
express carrier, 14 same day
destinations

Connecting brands to consumers with Zalando Marketing Services

Brands

Zalando Marketing Services

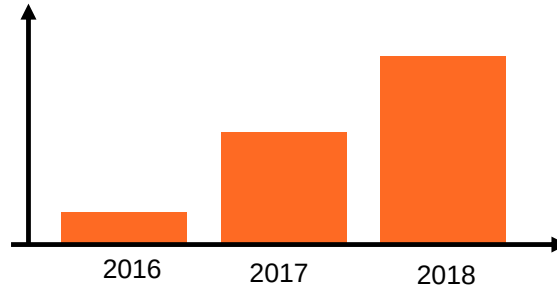
Consumers

Influencer Products (Collabary)

Consumer Insights

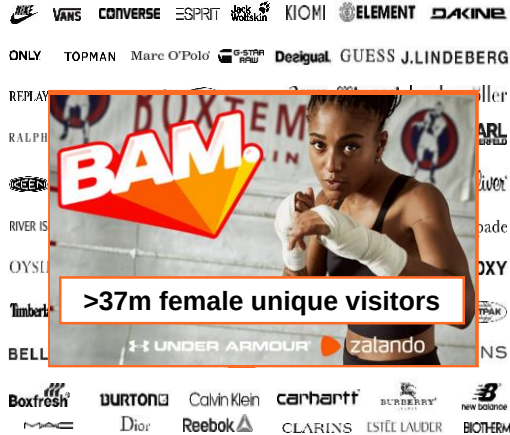
Media Products

No. of campaigns



>1000 m visits per quarter

>29 m active customers





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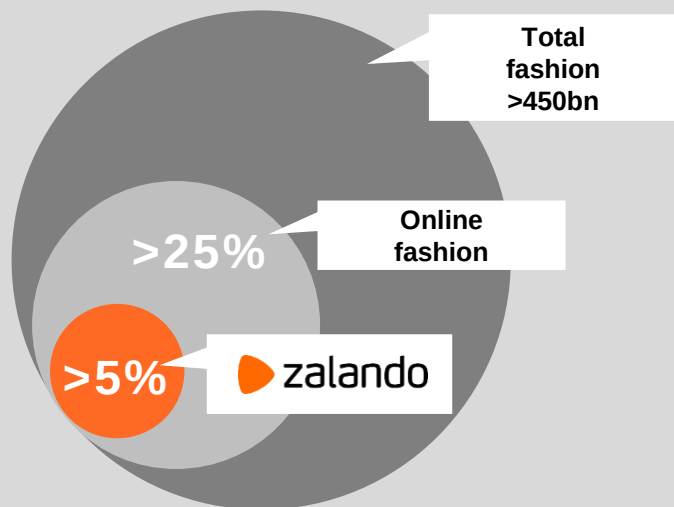
Platform as key lever
to become the starting point

Our business model of the future

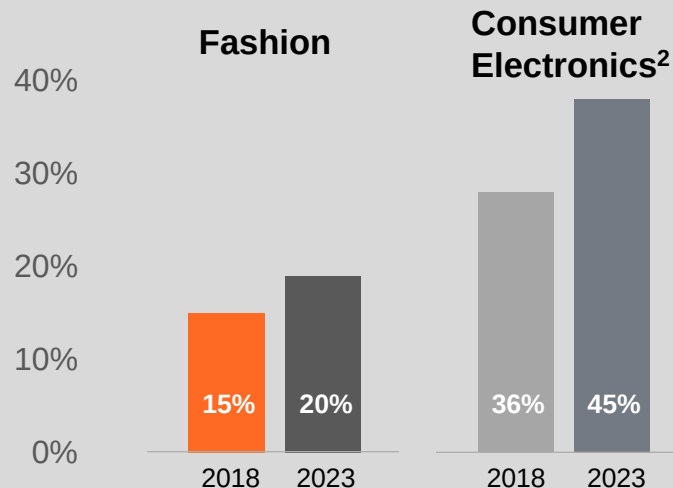
Q3 2019 results

Facing an immense market opportunity, our number one priority is to capture market share

We are targeting a massive opportunity in 5-10 years¹...



...with low online share compared to other categories

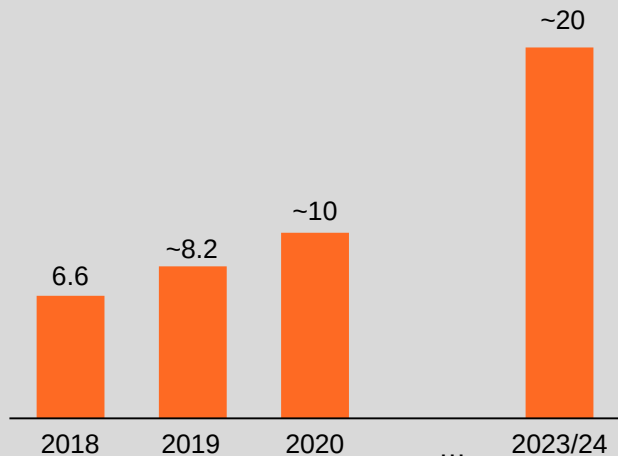


(1) Source: Company estimates and Euromonitor International, February 2019. Values based on actuals and estimates; fixed exchange rates. Fashion data incl. apparel and footwear, bags and luggage, jewelry and watches. Data for Europe (excluding Russia) inclusive of sales tax
(2) Source: United States online penetration, Statista, last update 2018-10

We aim to achieve a scale of 20bn EUR GMV by 2023/24

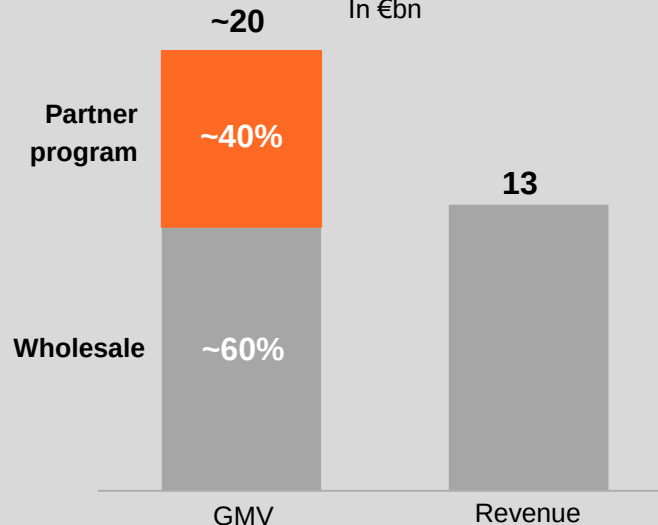
Growth Ambition 2023/24

In €bn GMV¹



Business Model Mix 2023/24

In €bn



CAGR²

+20-25%

+15-20%

Platform model to drive higher long term profitability at scale

Target Margin (growth in line with / slightly above online market)

In % of revenue	Wholesale ¹	Partner Program	Group margin impact ²
Gross margin			↑
Fulfillment costs			→
Marketing costs			↓
Admin expense			↓
Adj. EBIT margin	6-8%	20-25%	10-13%

Key assumptions:

- PP share ~50% of GMV
- ZFS share ~75% of PP items
- ZMS revenue 3-4% of GMV
- Operating leverage and fixed cost degression
- Cash Flow: WC neutral and CapEx slightly above D&A

Financial profile during transition to platform model

	Transition phase 2019 - 2021	Years following	Target model
Growth	Continued high GMV growth of 20-25% for the next 5 years		• Growth in line with / slightly above online market
Profitability	• Margins between 2-4%, driven by growth investments and platform transition	• Margins start to increase as platform transition progresses (e.g. impact of ZMS)	• Target margin of 10-13%
Cash	• Cash Flow negative • NWC neutral • Capex of 4-5% of revenue, driven by logistics and technology investments		• Target margin leading to a strong cash generation

Investment Highlights - The Starting Point for Fashion

1

Our vision is to become the **starting point for fashion**, the destination that consumers gravitate to for all their fashion needs.

2

The number 1 priority is to **focus on growth** with **20-25% topline CAGR** to achieve a scale of 20bn EUR GMV by 2023/24.

3

The most important building block on that journey is to transition our business towards a **true platform business**.

4

At scale our strategy will result in an **attractive financial profile**, characterized by double-digit margin profile and strong cash generation.

5

To become the starting point **we aim to invest** our economic surplus in our **customer experience across assortment, digital experience and convenience** to drive customer satisfaction and retention.



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Q3 2019 results

**Strong financial performance
driven by outstanding traffic and active customer growth**

Starting point strategy: Site visits >1bn for the first time and continued outstanding active customer growth

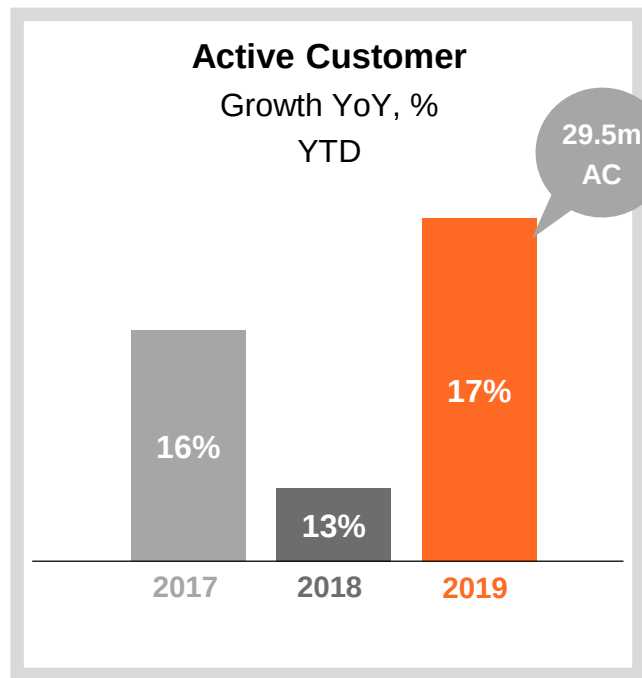
Strong financial performance: GMV +24.6%, revenue +26.7%, adj. EBIT €6.3m

Outlook confirmed: GMV growth of 20% to 25%, revenue growth around 20%, adj. EBIT between €200-225m

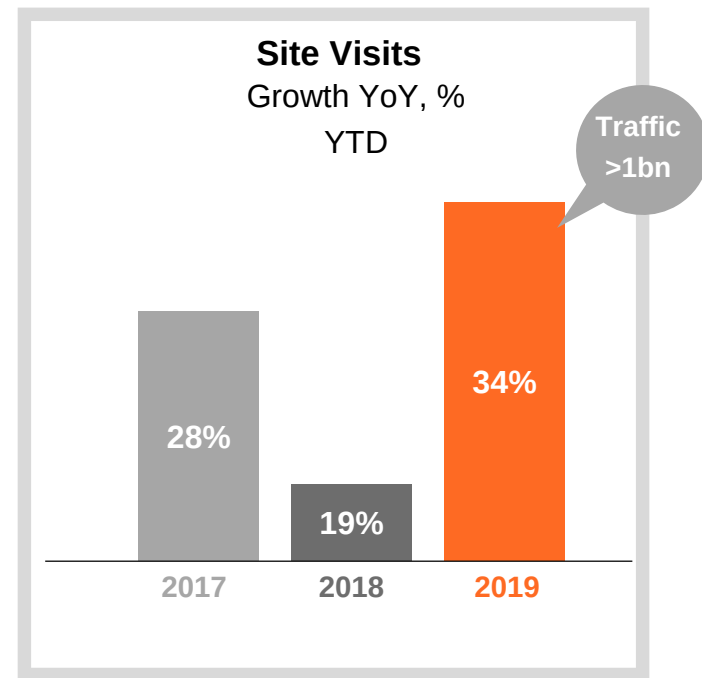
Platform transition: Continued strong adoption of our platform services ZFS and ZMS

Sustainability: Becoming a sustainable fashion platform with a net positive impact for people and planet

We continue to deliver against our starting point strategy as we broaden our customer base and create deeper customer relationships...



Starting Point
for Fashion



...and continue to capture market share across Europe
based on a highly localized and customer centric approach

GERMANY 🇩🇪

Strengthening our market leadership position by **creating deeper customer relationships** with Zalando Plus - **Plus customers** already drive **10% share of GMV** in DE after only 2 quarters.

SWEDEN 🇸🇪

Continuing on our **strong growth trajectory** on the back of investments into **local assortment** and **local warehouse**.

SPAIN 🇪🇸

Developing less mature online fashion market by **increasing brand awareness**, **investing in customer acquisition** and **driving convenience improvements** resulting in significant growth acceleration.

CZECH REPUBLIC 🇨🇪

Fastest growing country on the back of **strong customer proposition** and investments in **customer acquisition**, paving the way towards **market leadership** (e.g. in CZ acquired 1% of population in July).

do.MORE Strategy 2023:

Becoming a sustainable fashion platform with a net positive impact for people and planet

CARBON NEUTRALITY

Of our operations,
all deliveries
and returns



OPTIMIZED PACKAGING

Minimize waste and
keep materials in use;
eliminate single-use
plastics



APPLY PRINCIPLES OF CIRCULARITY

And extend the life of
at least 50m fashion
products



MORE SUSTAINABLE FASHION

Generate 20%
of GMV by more
sustainable
products



INCREASED ETHICAL STANDARDS

We will work
only with
partners who
align with them



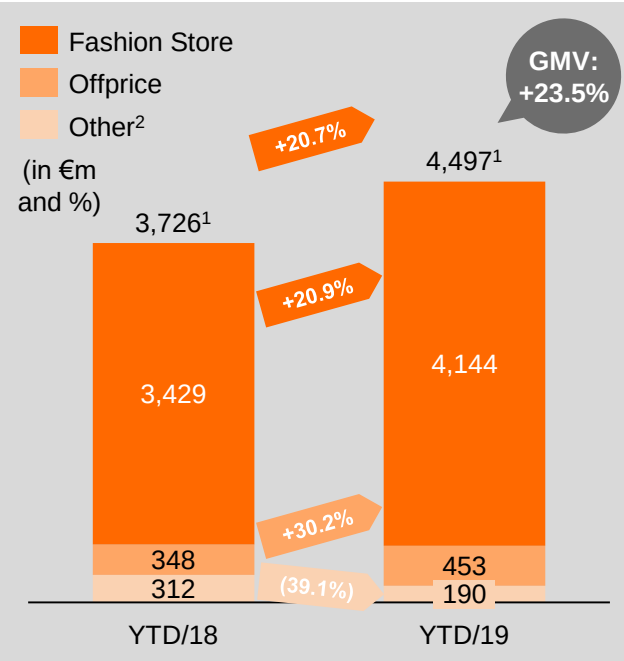
UPSKILLING

Our employees
receive skilling
chances that
match future
work needs

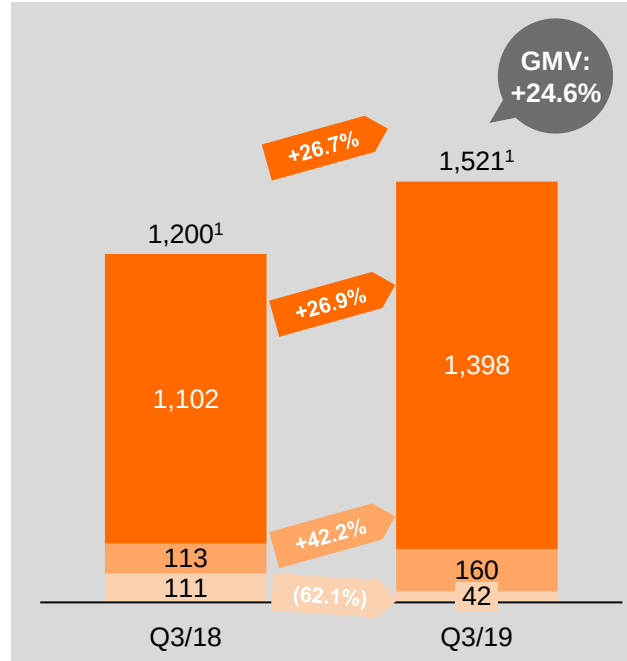


All regions contributed to strong revenue development

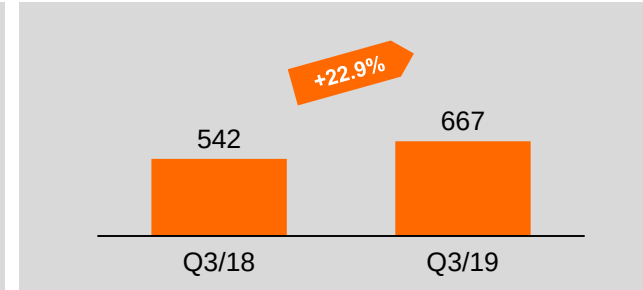
Revenue: Group (YTD)



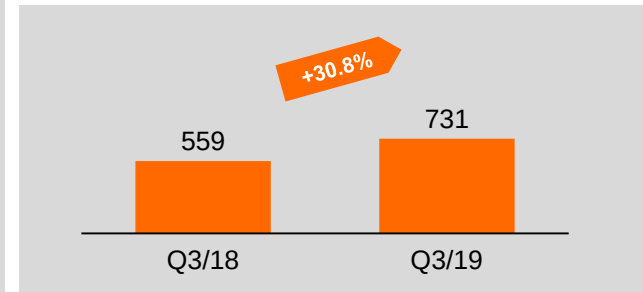
Group (Q3)



Fashion Store – DACH (Q3)

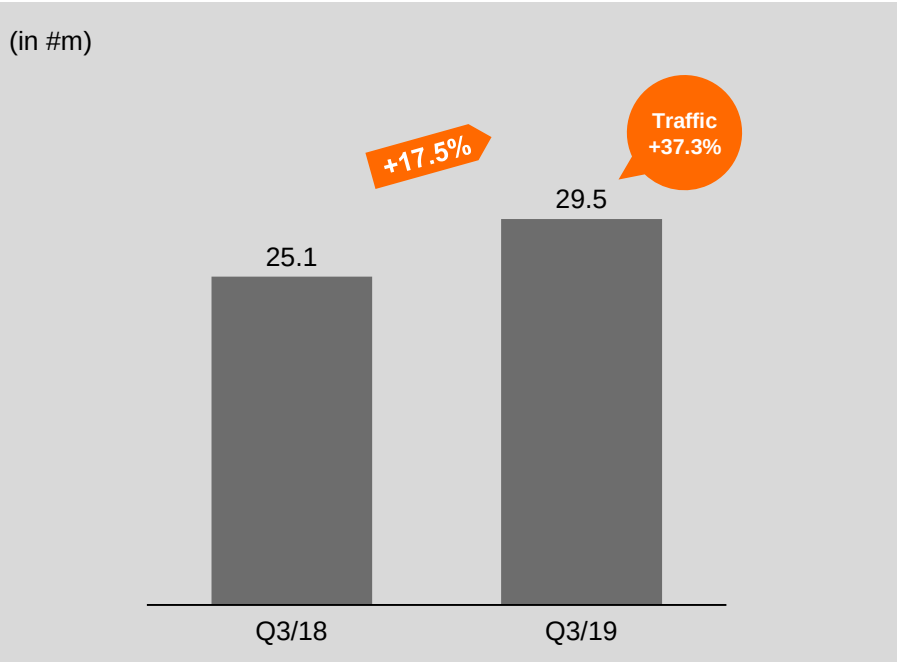


Fashion Store – Rest of Europe (Q3)

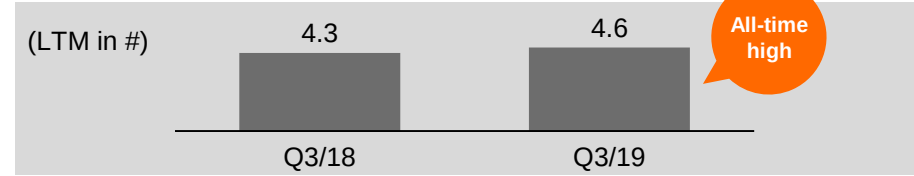


Growth in Active Customers further accelerated

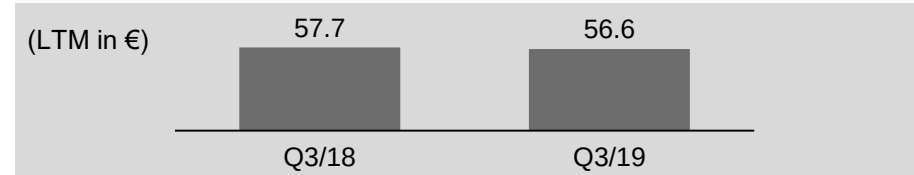
Active customers



Average orders per active customer



Average basket size after returns¹



GMV per active customer²



Healthy gross margin improvement due to reversal allowance of defective returns in Q3/18 and good trading environment

Costs and margins¹

(in % of revenue)

	Y T D			Q 3		
	2018	2019	Delta	2018	2019	Delta
Cost of sales	(58.2%)	(57.4%)	(0.8pp)	(60.4%)	(58.9%)	(1.6pp)
Gross profit	41.8%	42.6%	0.8pp	39.6%	41.1%	1.6pp
Fulfillment costs	(28.8%)	(28.1%)	(0.6pp)	(30.0%)	(28.6%)	(1.4pp)
Marketing costs	(7.1%)	(7.8%)	(0.7pp)	(8.0%)	(8.0%)	(0.1pp)
Administrative expenses & Other	(4.5%)	(4.2%)	(0.4pp)	(4.8%)	(4.0%)	(0.7pp)
Adj. EBIT	1.5%	2.5%	1.1pp	(3.2%)	0.4%	3.7pp

Higher warehouse utilization

FY 2019 outlook confirmed

GMV growth in 20 – 25% range; revenue growth around the low end of this range

Adj. EBIT¹ in upper half of initial €175 – 225m range

Slightly negative working capital and around €300m capex²



Appendix

Management Board

The Zalando share

Zalando Investor Relations Team

Management Board



Robert Gentz
Co-CEO

- Marketing / Sales
- Human Resources



David Schneider
Co-CEO

- Fashion Offer
(Assortment)



Rubin Ritter
Co-CEO

- Strategy



Jim Freeman
CTO

- Product
- Technology

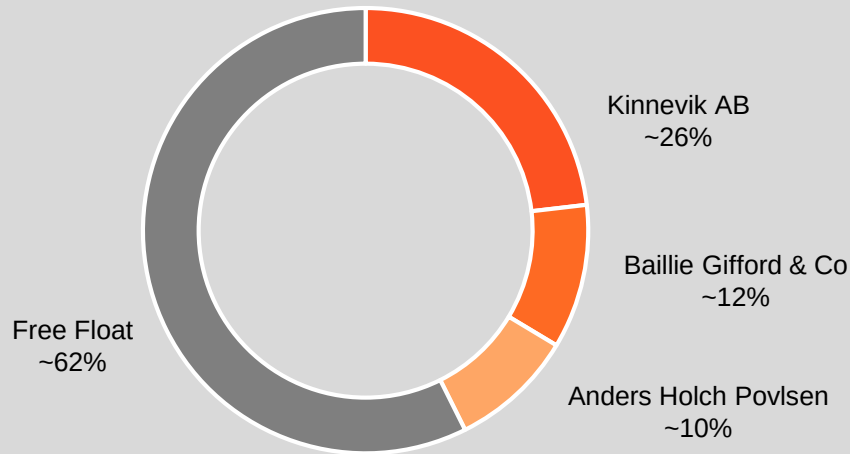


David Schröder
CFO

- Finance
- Operations

The Zalando Share

Shareholder structure



Share information

Type of Shares	Ordinary bearer shares with no-par value (<i>Stückaktien</i>)
Stock Exchange	Frankfurt Stock Exchange
Market Segment	Regulated Market (<i>Prime Standard</i>)
Index Listings	MDAX
Total Number of Shares Outstanding	252,848,768
Issued Share Capital	€252,848,768

Zalando Investor Relations Team



Patrick Kofler – Head of IR
Patrick.Kofler@zalando.de



Dorothee Schultz – Junior Manager IR
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Upcoming Events

Date	Event
Tuesday, January 14	German Investment Seminar Commerzbank, New York
Thursday, January 16	German Corporate Day Baader Bank, Toronto
Tuesday, January 21	GCC KeplerChevreux, Frankfurt
Wednesday, February 5	15th HSBC ESG Conference
Thursday, February 27	FY/2019 Results
Thursday, May 7	Q1/2020 Results
Wednesday, May 20	Annual General Meeting, Berlin
Tuesday, August 11	Q2/2020 Results
Wednesday, November 4	Q3/2020 Results

Disclaimer

Certain statements in this communication may constitute forward looking statements. These statements are based on assumptions that are believed to be reasonable at the time they are made, and are subject to significant risks and uncertainties. You should not rely on these forward-looking statements as predictions of future events and we undertake no obligation to update or revise these statements. Our actual results may differ materially and adversely from any forward-looking statements discussed on this call due to a number of factors, including without limitation, risks from macroeconomic developments, external fraud, inefficient processes at fulfillment centers, inaccurate personnel and capacity forecasts for fulfillment centers, hazardous material / conditions in production with regard to private labels, lack of innovation capabilities, inadequate data security, lack of market knowledge, risk of strike and changes in competition levels.

